

COMMERCIAL LEASE AGREEMENT

This Commercial Lease Agreement (the "Agreement") is made and executed on this 1st day of November 2025 (the "Execution Date"), by and between:

Horizon Properties LLP, a limited liability partnership bearing LLPIN AAC-5678, represented by its Partners Mr. Suresh Reddy and Mrs. Lakshmi Reddy, having its registered office at Office No. 601, Mantri Square Mall, Sampige Road, Malleshwaram, Bangalore - 560003 (hereinafter referred to as the "Lessor", which expression shall, unless repugnant to the context or meaning thereof, be deemed to mean and include its successors and assigns);

AND

FreshBite Foods Private Limited, a company incorporated under the Companies Act, 2013, bearing CIN U55101KA2021PTC456789, having its registered office at No. 78, 100 Feet Road, Indiranagar, Bangalore - 560038, represented by Mr. Vikram Singh, Director (hereinafter referred to as the "Lessee", which expression shall, unless repugnant to the context or meaning thereof, be deemed to mean and include its successors and permitted assigns).

PROPERTY DESCRIPTION: Ground Floor Commercial Unit No. GF-04, "Horizon Business Centre", Plot No. 45/1, 14th Cross Road, HSR Layout Sector 2, Bangalore - 560102. The unit comprises a built-up area of 2,400 sq ft and a carpet area of 1,800 sq ft, including an attached kitchen area, storage room, and dedicated customer seating area.

1. DEFINITIONS

In this Agreement, the following terms shall have the meanings specified:

- 1.1 "Built-up Area" means the total area of the Premises including the thickness of external walls and proportionate share of common areas.
- 1.2 "CAM Charges" means the Common Area Maintenance charges levied for the upkeep of the building.
- 1.3 "Carpet Area" means the net usable floor area of the Premises, excluding external walls, balcony, and terrace.
- 1.4 "Commencement Date" means January 1, 2026, the date from which the Lease Term and rent obligations begin.
- 1.5 "Common Areas" means staircases, elevators, lobbies, parking, and pathways available for joint use.
- 1.6 "Fitout Period" means the rent-free period granted to the Lessee to carry out interior works.
- 1.7 "Landlord's Fixtures" means structural components, standard electrical systems, and plumbing installed by the Lessor.
- 1.8 "Lease Term" means the initial term of five years from the Commencement Date.
- 1.9 "Lessee's Fixtures" means the trade fixtures, kitchen equipment, and decor installed by the Lessee.
- 1.10 "Lock-in Period" means the initial three-year period during which neither party can terminate the lease without penalty.

- 1.11 "Maintenance" means routine upkeep and repair works.
- 1.12 "Permitted Use" means operating a restaurant, cafe, cloud kitchen, or food service business.
- 1.13 "Premises" means the Ground Floor Commercial Unit No. GF-04 described above.
- 1.14 "Property Tax" means municipal taxes levied on the building by local authorities.
- 1.15 "Rent" means the monthly base rent payable by the Lessee to the Lessor.
- 1.16 "Rent Escalation" means the annual percentage increase in the Rent.
- 1.17 "Rent-Free Period" means the period prior to the Commencement Date where no Rent is payable.
- 1.18 "Security Deposit" means the interest-free refundable deposit paid by the Lessee.
- 1.19 "Structure" means the foundation, roof, load-bearing walls, and exterior facade.
- 1.20 "Trade Fixtures" means equipment specific to the Lessee's business operations.
- 1.21 "Utilities" means electricity, water, internet, and gas services.

2. GRANT OF LEASE

The Lessor hereby grants and demises unto the Lessee, and the Lessee accepts, the lease of the Premises along with the right to use the Premises solely for the Permitted Use. The Lessee is further granted the non-exclusive right to use the Common Areas in conjunction with other tenants of the building. The Lessor shall hand over possession of the Premises to the Lessee 15 days prior to the Commencement Date, providing a rent-free Fitout Period to facilitate the Lessee's interior works.

3. LEASE TERM

The initial Lease Term shall be for a period of five (5) years, commencing on the Commencement Date of 1st January 2026. The lease is subject to a strict lock-in period of three (3) years from the Commencement Date, binding upon both the Lessor and the Lessee. The Lessee shall have the option to renew the lease for one additional term of five (5) years on mutually agreed terms, provided the Lessee gives written notice of its intent to renew at least six (6) months prior to the expiration of the initial term. Any holding over by the Lessee post the expiration or termination of the lease without a registered renewal agreement shall be construed as a month-to-month tenancy, and the Lessee shall be liable to pay rent at 150% of the last applicable Rent.

4. RENT AND ESCALATION

- 4.1 Base Rent: The monthly Rent is fixed at Rs. 1,35,000 (calculated at Rs. 75 per sq ft on the carpet area of 1,800 sq ft).
- 4.2 Rent Escalation: The Base Rent shall be subject to an escalation of 8% per annum, effective on each anniversary of the Commencement Date.
- 4.3 CAM Charges: The Lessee shall pay monthly CAM Charges at Rs. 28 per sq ft on the built-up area, amounting to Rs. 67,200 per month, subject to annual revision based on actual building maintenance costs.
- 4.4 Property Tax: The burden of municipal Property Tax shall be shared equally between the Lessor and the

Lessee. The current estimated total property tax is approximately Rs. 1,80,000 per annum.

4.5 GST: Goods and Services Tax, as applicable, shall be payable by the Lessee on both the Rent and CAM Charges over and above the stated amounts.

4.6 Payment: Rent and CAM charges are due on or before the 1st day of each calendar month, payable via bank transfer, NEFT, or RTGS. Late payments shall attract interest at 18% per annum.

4.7 TDS: The Lessee shall be responsible for deducting Tax Deducted at Source (TDS) as per applicable tax laws and shall provide valid TDS certificates to the Lessor on a quarterly basis.

5. SECURITY DEPOSIT

The Lessee has paid an interest-free, refundable Security Deposit of Rs. 8,10,000, equivalent to six (6) months' Rent at the initial rate. The Security Deposit shall be refunded to the Lessee within ninety (90) days of vacating the Premises, subject to deductions for any unpaid rent, charges, or damages beyond normal wear and tear. The Lessee is required to top up the Security Deposit proportionally upon each annual Rent escalation, remitting the difference within thirty (30) days of the effective date of such escalation.

6. PERMITTED USE

The Premises shall be strictly used as a restaurant, cafe, cloud kitchen, and general food service business. The Lessee guarantees that all food preparation and service operations will comply entirely with FSSAI regulations and local health codes. The Lessee shall not engage in any activity that creates a nuisance, excessive noise, or offensive odors affecting other tenants in the Horizon Business Centre. The sale of alcoholic beverages is strictly prohibited without the explicit prior written consent of the Lessor and the procurement of all applicable state excise licenses. Furthermore, the Lessee shall not host live music or entertainment events without obtaining prior written consent from the Lessor.

7. FITOUT AND ALTERATIONS

7.1 Fitout Period: A rent-free period of 15 days from the handover of possession is granted for fitout works.

7.2 Lessee's Fitout: All interior fitout works, including but not limited to kitchen equipment, furniture, decor, internal signage, false ceiling, and specialized flooring, shall be executed at the Lessee's sole cost and risk.

7.3 Structural Modifications: The Lessee is strictly prohibited from making any structural modifications to the Premises without the prior written consent of the Lessor. Any approved structural changes must be borne by the Lessee and certified by a licensed structural engineer.

7.4 Removal of Fixtures: Upon the expiration or earlier termination of the Lease, the Lessee may remove its Trade Fixtures, provided that the Premises is restored to its original condition. Any fixtures not removed within 15 days of the lease end date shall automatically become the property of the Lessor.

7.5 Restoration: The Lessor reserves the right to require the Lessee to restore the Premises to its original condition at the Lessee's expense. The Lessor shall provide written notice detailing restoration requirements at least 60 days before the lease termination date.

8. UTILITIES AND SERVICES

The Premises is equipped with a separate electricity meter; the Lessee shall pay electricity consumption charges directly to BESCO. Water supply is centralized and its cost is included within the CAM Charges. The Lessee is solely responsible for arranging and paying for internet, telephone, and independent security systems. The Lessor provides a backup power generator; however, generator usage by the Lessee shall be metered and charged additionally at Rs. 25 per unit. The Lessee must manage and dispose of all wet and dry waste strictly in accordance with BBMP regulations and guidelines.

9. MAINTENANCE AND REPAIRS

9.1 Lessee: The Lessee is exclusively responsible for all interior maintenance, non-structural repairs, plumbing and electrical upkeep within the Premises, regular pest control, and the cleaning and maintenance of the kitchen exhaust system, grease traps, and any independent HVAC systems installed within the Premises.

9.2 Lessor: The Lessor retains responsibility for major structural repairs (including the foundation, external walls, roof, and load-bearing walls), common area maintenance, building facade upkeep, and common plumbing and electrical systems.

9.3 HVAC: If a central HVAC system serves the building, the Lessee's proportionate share of its maintenance is covered in the CAM Charges. Otherwise, the Lessee must maintain its independent HVAC at its own cost under an annual maintenance contract.

9.4 Emergency Repairs: In emergency situations where immediate action is required to prevent severe property damage, the Lessee may undertake urgent repairs (up to a limit of Rs. 50,000) and seek reimbursement from the Lessor if the repair falls under the Lessor's responsibilities, provided prior intimation is given to the Lessor wherever practically possible.

10. INSURANCE

The Lessee is obligated to maintain, at its own cost, comprehensive general liability insurance with a minimum coverage limit of Rs. 1 crore, along with insurance covering its contents, stock, and Trade Fixtures against fire and allied perils. The Lessee must also maintain worker's compensation insurance as legally applicable. The Lessor shall be named as an additional insured on the liability policy. The Lessor is solely responsible for maintaining building structure insurance. Both parties shall provide valid certificates of insurance to each other on an annual basis.

11. LICENSES AND COMPLIANCE

The Lessee assumes sole and absolute responsibility for obtaining, maintaining, and renewing all licenses and permits required for the Permitted Use. This includes, but is not limited to, the FSSAI license, fire safety No Objection Certificate (NOC) from the Fire Department, trade license from the BBMP, health and sanitation clearances, GST registration, Shop and Establishment registration, lift/escalator certifications (if installed by Lessee), and any required environmental clearances. The Lessor shall provide necessary ownership documents to facilitate these applications.

12. NON-COMPETE BY LESSOR

During the subsistence of the Lease Term, the Lessor covenants that it shall not lease, let, or permit the use of any other commercial unit within the Horizon Business Centre for the operation of a restaurant, cafe, or food service business that directly competes with the Lessee's primary cuisine category. This exclusivity restriction does not apply to convenience stores, bakeries, or food businesses operating fundamentally different cuisine categories, which the Lessor remains free to accommodate.

13. SIGNAGE

The Lessee is permitted to install standard business signage on the designated Premises frontage and within the building directory board. All signage installations are strictly subject to the Lessor's prior written approval regarding design, dimensions, and placement. The Lessee must ensure that all signage complies with BBMP municipal regulations and bears all costs associated with installation, licensing, and eventual removal. Upon termination of the lease, the Lessee must remove the signage and repair any damage caused to the building facade.

14. ASSIGNMENT AND SUBLETTING

The Lessee shall not assign this Lease, sublet the Premises, or part with possession of the whole or any part of the Premises without the prior written consent of the Lessor. The Lessor agrees that such consent shall not be unreasonably withheld if the assignment is to an Affiliate of the Lessee or executed in connection with a bona fide sale of the Lessee's business. In the event of an approved assignment, the original Lessee shall remain liable as a guarantor for the performance of the lease obligations. Subletting or licensing of only a partial area of the Premises is strictly prohibited.

15. DEFAULT AND REMEDIES

15.1 Events of Default by Lessee: A default occurs if the Lessee fails to pay Rent or charges for 15 days after the due date, breaches any material term and fails to cure it within 30 days of written notice, enters into insolvency or bankruptcy proceedings, assigns the lease without consent, uses the premises for an unpermitted purpose, or abandons the premises for 30 consecutive days.

15.2 Lessor's Remedies: Upon a Lessee default, the Lessor may terminate the lease, re-enter the premises, recover all arrears along with damages, forfeit the security deposit, and hold the Lessee liable for the rent until the earlier of re-letting the premises or the expiration of the remainder of the lease term (acceleration clause). The Lessor may also recover reasonable legal costs.

15.3 Events of Default by Lessor: A default occurs if the Lessor fails to make necessary structural repairs within 30 days of written notice, unlawfully interferes with the Lessee's quiet enjoyment of the premises, or fails to refund the security deposit as per the agreed terms.

15.4 Lessee's Remedies: Upon a Lessor default, the Lessee may set-off documented urgent repair costs against the Rent, seek actual damages, or terminate the lease entirely if the Lessor's material breach remains uncured for a period of 60 days.

16. TERMINATION

16.1 During Lock-in: If either party terminates the lease during the Lock-in Period for any reason other than a material breach by the other party, such termination shall attract a strict penalty of six (6) months' Rent at the

then-applicable rate. Additionally, a termination by the Lessee will result in the forfeiture of the Security Deposit, while an unlawful termination by the Lessor will require a double return of the Security Deposit to the Lessee.

16.2 After Lock-in: Following the expiration of the Lock-in Period, either party may terminate this Agreement without cause by providing three (3) months' prior written notice to the other party.

16.3 Mutual: This Lease may be terminated at any time by mutual written and signed agreement between both Parties.

17. SURRENDER AND HANDOVER

Upon the expiration or earlier termination of the Lease, the Lessee shall surrender and hand over vacant and peaceful possession of the Premises in good and tenantable condition, normal wear and tear excepted. All Lessee's Fixtures must be removed, and the Lessee must arrange for a professional deep cleaning of the Premises. All utility accounts must be settled up to the handover date, and all keys and access cards must be returned. The Lessor shall conduct a joint inspection within seven (7) days of handover. Any dispute regarding the condition of the Premises shall be resolved pursuant to the Dispute Resolution clause.

18. INDEMNIFICATION

Each party agrees to indemnify, defend, and hold harmless the other party from and against any and all claims, losses, damages, liabilities, and expenses arising from a breach of this Agreement, negligence, or willful misconduct by the indemnifying party or its agents. The Lessee additionally agrees to fully indemnify the Lessor against any claims, actions, or penalties arising from customers, employees, third parties, food safety violations, or environmental regulatory breaches associated with the Lessee's operation of the business on the Premises.

19. FORCE MAJEURE

Neither party shall be deemed in default if the performance of their obligations is delayed or prevented by events beyond their reasonable control, including acts of God, pandemics, riots, or government mandates. In such events, the affected obligations shall be suspended, and Rent shall be abated proportionally to the period the Premises is rendered unusable. If a Force Majeure event continues for more than 120 consecutive days, either party may terminate the Agreement without penalty.

20. GOVERNING LAW

This Agreement, and all matters connected with it, shall be governed by and construed in accordance with the laws of the Republic of India, with specific application of the state laws of Karnataka governing commercial tenancies.

21. DISPUTE RESOLUTION

Any dispute arising out of this Agreement shall first be submitted to good faith negotiation for a period of thirty (30) days. If unresolved, the dispute shall be referred to mediation under the rules of the Indian Institute of Arbitration and Mediation. If mediation fails, the dispute shall be resolved by binding arbitration in accordance with the Arbitration and Conciliation Act, 1996. The arbitral tribunal shall consist of three arbitrators: each party shall appoint one arbitrator, and

the two appointed arbitrators shall jointly appoint a presiding third arbitrator. The seat and venue of arbitration shall be Bangalore, the language shall be English, and the arbitral award shall be final and binding on both Parties.

22. NOTICES

All notices required under this Agreement shall be in writing and delivered by registered post, recognized courier, or email to the registered addresses specified in the preamble. Notices sent by courier shall be deemed received five (5) business days after dispatch. Notices sent by email shall be deemed received immediately upon the sender obtaining a delivery confirmation or read receipt.

23. MISCELLANEOUS

This Lease Agreement shall be duly registered, and all stamp duty and registration charges shall be borne exclusively by the Lessee. This document constitutes the entire agreement between the Parties and supersedes any prior understandings. Any amendments must be in writing and signed by both Parties. If any provision is found invalid, the remaining provisions shall remain in effect. The failure to enforce any right shall not constitute a waiver. The relationship created by this Agreement is strictly that of a landlord and tenant, and nothing herein shall be construed as creating a partnership or joint venture.

SCHEDULE A: Floor Plan and Premises Description

Detailed floor plan of Unit GF-04 showing built-up and carpet area boundaries.

SCHEDULE B: Specifications and Condition at Handover

Detailed list of civil conditions, electrical load capacity, plumbing points, and finishes at the time of handover.

SCHEDULE C: List of Lessor's Fixtures and Equipment

Inventory of all base structural equipment and permanent fixtures provided by the Lessor.

SCHEDULE D: Maintenance Responsibility Matrix

Table format detailing specific maintenance items (e.g., HVAC, plumbing, structural cracks) and assigning clear responsibility to either the Lessor or the Lessee.

IN WITNESS WHEREOF, the Parties hereto have executed this Agreement on the date first above written.

For and on behalf of Horizon Properties LLP:

For and on behalf of FreshBite Foods Private Limited:

Name: Suresh Reddy
Title: Partner

Name: Vikram Singh
Title: Director

Witness 1 (For Lessor):

Witness 1 (For Lessee):

Name: _____

Name: _____

Witness 2 (For Lessor):

Witness 2 (For Lessee):

Name: _____

Name: _____